

3. Accumulation/Distribution= previous Accumulation/Distribution + current period's Money Flow Volume

'ACCUMULATION/DISTRIBUTION'

The indicator is primarily used to confirm price trends, or spot potential trend changes in price based on divergence with the Accumulation/Distribution line.

The indicator looks at each period individually, and whether the price closes in the upper or lower portion of the period's (day's) range. This means not all divergences will result in a price trend reversal. Occasionally anomalies will occur where the price is trending lower (higher) but the indicator is rising (falling), because even though the price trend is down, each day the price is finishing in the upper portion of its daily range. High volume days can accentuate this characteristic.

Therefore, the indicator is different from other cumulative volume indicators, such as On-Balance Volume (OBV).

DEFINITION of 'Double Top'

A term used in technical analysis to describe the rise of a stock, a drop, another rise to the same level as the original rise, and finally another drop.